B2B RFM Segmentation for H2 Revenue Optimization

The company is a B2B supplier of home and living products serving corporate and retail clients. To support revenue growth in H2 2020, management requires a data-driven understanding of **50 selected active clients**.

Objectives:

This project applies **RFM analysis** to segment these clients based on their transactional behavior during H1 2020. The results provide actionable insights for the sales and marketing teams to **implement more targeted marketing strategies, improve marketing efficiency, and mitigate potential churn risks ahead of H2 2020**.

Business Questions

- How is revenue distributed across the 50 active clients?
- What are the Recency, Frequency, and Monetary profiles of each client?
- How can clients be segmented based on their RFM scores?
- Which segments contribute the most revenue and which show the highest growth potential?
- What strategic actions should be taken for each segment to optimize revenue performance in H2 2020?

Key Findings

- **Revenue is broadly distributed.** Reaching 80% of total revenue requires 36 of 50 clients (72%), indicating a diversified revenue base with no single dominant account.
- **Top-tier clients drive nearly half of total revenue.** Champions and Loyal represent 42% of the client base yet contribute 49.49% of revenue. Retention of these two segments is critical to revenue stability.
- **Growing clients present the largest expansion opportunity**. The largest segment by client count (26%) yet contributes only 19.94% of revenue, indicating significant untapped growth potential.
- **At Risk clients are small in number but significant in revenue exposure**. Only 6% of clients, however the average revenue per client reaches $334K, making proactive retention efforts essential.
- **Low Value clients still contribute meaningful revenue share**. This segment generates $2.13M (15.10% of total revenue), Modest individually but significant in aggregate.

Deep Dive Analysis

KPI Overview

Total Revenue	Total Active Clients	Top-Tier Revenue Share	At Risk Revenue
14.10M	50	49.5%	$1.00M

During H1 2020, the 50 active clients collectively generated **$14.10M** in total revenue. Nearly half of this (**49.5%**) was driven by the **top two segments (Champions and Loyal)**, underscoring their critical role in revenue stability.

At the same time, **$1.00M** in revenue sits within the **At Risk segment**, representing accounts that were once high-value but have shown declining activity — making proactive **retention** a near-term priority heading into **H2 2020**.

Revenue & Segmentation Overview

Segment	Total Clients	% Clients	Total Revenue	% Revenue
Champions	11	22%	$3,990,348	28.3%
Loyal	10	20%	$2,985,535	21.18%
Growing	13	26%	$2,811,229	19.94%
Low Value	9	18%	$2,128,511	15.10%
Potential	4	8%	$1,177,708	8.35%
At Risk	3	6%	$1,004,117	7.12%

- **Champions lead revenue generation** with **$4.0M (28.3%)**, **followed closely by Loyal** at **$3.0M (21.2%)**, together contributing nearly half of the revenue observed, despite representing only **42%** of the client base.
- **The Growing segment is the largest by client count (13 clients, 26%)** yet contributes **19.94% of revenue**, below its proportional share. This gap between client volume and revenue highlights significant **untapped growth potential** within this segment.
- **Potential clients (4 clients, 8%)** contribute **8.35% of revenue**, nearly proportional to their size, suggesting that while this segment is small, its members are already transacting at a relatively **healthy level**.

Revenue & Segmentation Overview

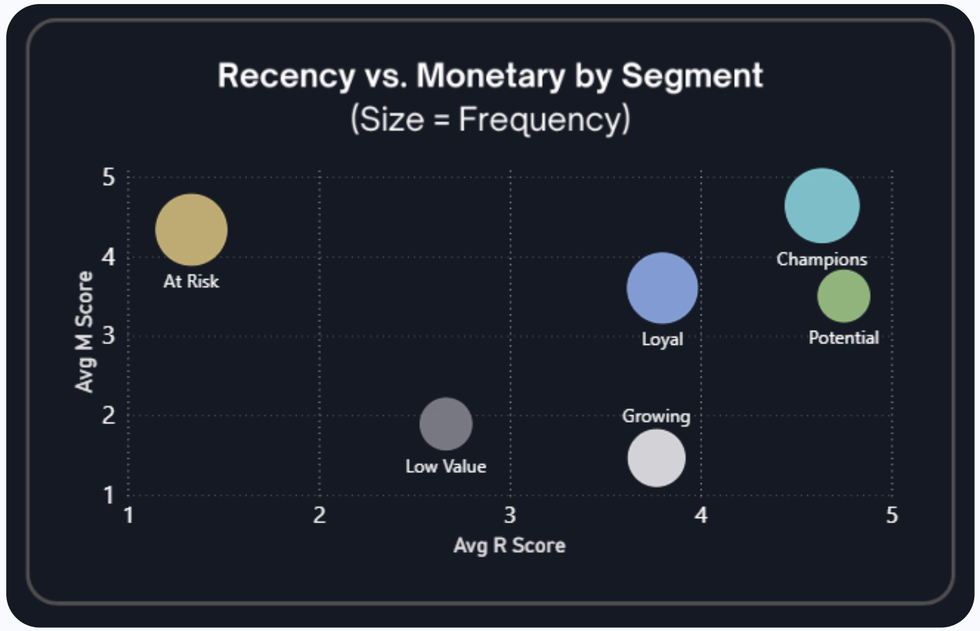
Segment	Total Clients	% Clients	Total Revenue	% Revenue
Champions	11	22%	$3,990,348	28.3%
Loyal	10	20%	$2,985,535	21.18%
Growing	13	26%	$2,811,229	19.94%
Low Value	9	18%	$2,128,511	15.10%
Potential	4	8%	$1,177,708	8.35%
At Risk	3	6%	$1,004,117	7.12%

- **At Risk clients (3 clients, 6%)** generate **7.12% of revenue ($1.00M)**, with an average revenue per client of approximately **$334K**. Despite being the **smallest segment by count**, the **revenue at stake per client is significant**. Churn within this group would have an **outsized impact** relative to its size.

- **Low Value clients (9 clients, 18%)** contribute **15.10% of revenue**, below their proportional client share, as expected. While individually modest, their collective contribution of **$2.13M** is **not negligible**. **A cost-efficient, monitoring-based approach** is appropriate here, with **selective escalation** for clients showing growth signals.

Revenue & Segmentation Overview

The scatter plot presents each segment's average RFM profile across Recency (X-axis), Monetary (Y-axis), and Frequency (bubble size).



- **Champions** occupy the top-right with the largest bubble, confirming their dominance **as the most recent, highest-spending, and most frequent buyers**.
- **At Risk**, in the top-left, has a similarly large bubble but low Recency, **signaling declining activity and the need for immediate retention efforts**.
- **Loyal** clusters near the center-right, showing **balanced**, above-average RFM scores — consistent **performers below Champions level**.
- **Potential** appears on the right with a smaller bubble, reflecting **strong recent engagement but lower Frequency and Monetary scores**.
- **Growing**, near the center, shows **moderate Recency and low Monetary**, indicating active clients still in **early development**.
- **Low Value** occupies the lower-left with a small bubble, reflecting **limited engagement across all three dimensions.**

Revenue & Segmentation Overview

Pareto Analysis
Sales Contribution by Client

80%

Customer Name	Sales	Total Sales $	Transactions	Contrib	Run Total
Prasco Group		277,800.26	29	2.0%	61%
Ironclad Ltd		266,393.84	30	1.9%	63%
Pedifix Corp		262,496.45	28	1.9%	65%
Burt Industrial Corp		258,942.27	38	1.8%	67%
TriLab Ltd		257,072.47	24	1.8%	69%
Olea Group		248,539.52	22	1.8%	71%
Dharma Ltd		247,728.48	28	1.8%	72%
Nipro Corp		247,217.94	23	1.8%	74%
Pacific Ltd		247,095.83	32	1.8%	76%
Wakefern		246,674.07	28	1.7%	78%
Ohio Industrial Corp		241,242.21	29	1.7%	79%
⊟ Others					
Mylan Corp		237,915.33	28	1.7%	81%
Ascend Ltd		237,637.95	28	1.7%	83%
Sundial Corp		236,512.18	32	1.7%	84%
Trigen Corp		235,346.04	16	1.7%	86%
Winthrop Corp		217,403.95	27	1.5%	88%
Amylin Group		216,669.79	30	1.5%	89%
Uriel Group		209,826.41	27	1.5%	91%
Ohta Corp		204,758.70	32	1.5%	92%
StratSource Group		198,700.39	31	1.4%	93%
Fenwal Corp		197,110.99	23	1.4%	95%
Wuxi Group		186,535.20	29	1.3%	96%
Linde Industrial Corp		185,293.86	27	1.3%	98%
Medsep Group		184,414.65	26	1.3%	99%
ExactRx Corp		164,702.25	27	1.2%	100%

A Pareto analysis was conducted to assess revenue concentration across the 50 active clients. *Total revenue generated during the observation period (January–June 2020) amounted to* ***$14.10M***.

The results reveal a **long-tail distribution** — reaching 80% of total revenue requires approximately **36 out of 50 clients (72%)**, which deviates significantly from the classic 80/20 Pareto principle that would typically predict only 10 clients driving that threshold.

Individual client contributions are notably thin, ranging from **4.1% at the highest** down to **1.7% at the 80% cumulative mark**, with minimal spread between them. This indicates that revenue is distributed evenly across the observed client base, with no single dominant account.

Two strategic implications follow from this finding:

- The business is **not exposed to high concentration risk**: the loss of any single client would not critically impact overall revenue.
- There is **no quick win** from focusing exclusively on a handful of top accounts. Sustainable revenue growth must therefore come from **broad-based improvements across segments:** retaining top-tier clients, accelerating mid-tier development, and reducing churn exposure at the lower end.

Recommendations

Strategic Recommendations

Champions | Loyal | Potential
Growing | At Risk | Low Value

Cust ID	Customer Name	Segment	Recency	Frequency	Monetary
1	Avon Corp	Loyal	4	36	294,205.38
2	Wakefern	Growing	3	28	246,674.07
3	Elorac Corp	Loyal	6	33	373,501.05
4	Etude Ltd	Champions	5	35	300,314.94
5	Procter Corp	Champions	1	35	330,445.34
6	Pedifix Corp	Potential	0	28	262,496.45
7	NovaCore Ltd	Champions	3	35	311,995.72
8	Medsep Group	Growing	8	26	184,414.65
9	Eikon Technologies Corp	At Risk	22	31	346,020.16
10	Ironclad Ltd	Loyal	2	30	266,393.84
11	Apollo Ltd	Champions	1	36	324,040.14
12	Medline Corp	Champions	0	54	573,886.49
13	Olea Group	Low Value	5	22	248,539.52
14	Linde Industrial Corp	Growing	0	27	185,293.86
15	Rochester Ltd	At Risk	27	32	328,657.78
16	TriLab Ltd	Low Value	10	24	257,072.47
17	Pure Group	Champions	0	34	358,918.33
18	Eminence Corp	Loyal	6	36	284,509.14
19	Qualitest Corp	Potential	0	27	278,854.84
20	Pacific Ltd	Growing	6	32	247,095.83
21	Ohio Industrial Corp	Growing	2	29	241,242.21
22	Capweld Corp	Champions	0	34	366,326.69
23	Epsilon Ltd	Low Value	19	28	291,341.63
24	Burt Industrial Corp	Loyal	9	38	258,942.27

Champions → *Retain & Maximize Lifetime Value*

Insight: Champions are the revenue backbone of the business, contributing 28.31% of total observed revenue ($14.10M). The primary priority is ensuring zero friction in the business relationship with this segment.

Recommended Actions:

- Establish a VIP loyalty program with exclusive benefits
- Offer early access to new products or priority purchasing programs
- Personalized premium offers to drive upsell and cross-sell
- Implement referral programs to leverage their business network

Loyal → *Increase Transaction Value & Elevate to Champions*

Insight: Loyal clients have proven their consistency. The focus is not retention — they are already retained — but increasing value per transaction.

Recommended Actions:

- Cross-selling strategy for complementary products based on purchase history
- Volume discount or bundling program to drive basket size increase
- Tiered loyalty program with thresholds that incentivize progression to Champions tier

Strategic Recommendations

Champions | Loyal | Potential
Growing | At Risk | Low Value

Cust ID	Customer Name	Segment	Recency	Frequency	Monetary
1	Avon Corp	Loyal	4	36	294,205.38
2	Wakefern	Growing	3	28	246,674.07
3	Elorac Corp	Loyal	6	33	373,501.05
4	Etude Ltd	Champions	5	35	300,314.94
5	Procter Corp	Champions	1	35	330,445.34
6	Pedifix Corp	Potential	0	28	262,496.45
7	NovaCore Ltd	Champions	3	35	311,995.72
8	Medsep Group	Growing	8	26	184,414.65
9	Eikon Technologies Corp	At Risk	22	31	346,020.16
10	Ironclad Ltd	Loyal	2	30	266,393.84
11	Apollo Ltd	Champions	1	36	324,040.14
12	Medline Corp	Champions	0	54	573,886.49
13	Olea Group	Low Value	5	22	248,539.52
14	Linde Industrial Corp	Growing	0	27	185,293.86
15	Rochester Ltd	At Risk	27	32	328,657.78
16	TriLab Ltd	Low Value	10	24	257,072.47
17	Pure Group	Champions	0	34	358,918.33
18	Eminence Corp	Loyal	6	36	284,509.14
19	Qualitest Corp	Potential	0	27	278,854.84
20	Pacific Ltd	Growing	6	32	247,095.83
21	Ohio Industrial Corp	Growing	2	29	241,242.21
22	Capweld Corp	Champions	0	34	366,326.69
23	Epsilon Ltd	Low Value	19	28	291,341.63
24	Burt Industrial Corp	Loyal	9	38	258,942.27

Growing → *Accelerate Frequency & Basket Expansion*

Insight: Growing is the largest segment by client count (26%) yet its revenue share is below proportional (19.94%). This gap represents the largest growth opportunity heading into H2 2020, making it critical to leverage momentum and increase basket size.

Recommended Actions:

- Incentives for increased transaction value
- Mid-tier & premium product promotions
- Time-limited promotions to drive transaction frequency
- Cross-category exposure strategy

Potential → *Frequency Activation*

Insight: Potential clients show strong spending capacity but inconsistent purchase frequency. The objective is to convert sporadic purchases into a regular pattern.

Recommended Actions:

- Purchase reminders based on intervals between previous transactions
- Special offers for second and third orders to establish buying habits
- Segmented campaigns based on most frequently purchased product categories

Strategic Recommendations

Champions | Loyal | Potential
Growing | At Risk | Low Value

Cust ID	Customer Name	Segment	Recency	Frequency	Monetary
1	Avon Corp	Loyal	4	36	294,205.38
2	Wakefern	Growing	3	28	246,674.07
3	Elorac Corp	Loyal	6	33	373,501.05
4	Etude Ltd	Champions	5	35	300,314.94
5	Procter Corp	Champions	1	35	330,445.34
6	Pedifix Corp	Potential	0	28	262,496.45
7	NovaCore Ltd	Champions	3	35	311,995.72
8	Medsep Group	Growing	8	26	184,414.65
9	Eikon Technologies Corp	At Risk	22	31	346,020.16
10	Ironclad Ltd	Loyal	2	30	266,393.84
11	Apollo Ltd	Champions	1	36	324,040.14
12	Medline Corp	Champions	0	54	573,886.49
13	Olea Group	Low Value	5	22	248,539.52
14	Linde Industrial Corp	Growing	0	27	185,293.86
15	Rochester Ltd	At Risk	27	32	328,657.78
16	TriLab Ltd	Low Value	10	24	257,072.47
17	Pure Group	Champions	0	34	358,918.33
18	Eminence Corp	Loyal	6	36	284,509.14
19	Qualitest Corp	Potential	0	27	278,854.84
20	Pacific Ltd	Growing	6	32	247,095.83
21	Ohio Industrial Corp	Growing	2	29	241,242.21
22	Capweld Corp	Champions	0	34	366,326.69
23	Epsilon Ltd	Low Value	19	28	291,341.63
24	Burt Industrial Corp	Loyal	9	38	258,942.27

At Risk → *Urgent Reactivation*

Insight: With an average revenue of ~$334K per client, losing even one At Risk client carries significant impact. The intervention window is narrow.

Recommended Actions:

- Direct and personal outreach to understand root cause of declining activity
- Time-limited win-back offers based on individual purchase history
- Brief survey to identify behavior shift

Low value → *Cost Efficiency & Monitor Growth Signals*

Insight: Low Value clients collectively contribute $2.13M — not negligible, but insufficient to justify high-touch engagement. The approach must be cost-efficient.

Recommended Actions:

- Automated campaigns promoting entry-level and best-selling products
- Controlled promotional spending, prioritizing high-margin products
- Behavioral monitoring to detect clients showing growth signals